

Daily Market Summary

July 31, 2026

No US trading session on 2026-08-01. Figures are from the last session (2026-07-31).

Market Tone — Today's Session

A recap of how the market traded today — not a forecast.

Today: **+0.03** → **Neutral**

Trend (5-day EMA): **+0.00** → **Neutral** — smoothed, the readable day-over-day signal.

Component	Weight	Score
Market data	70%	+0.09
News headlines	20%	-0.16
Fed (rate expectations)	10%	-0.05

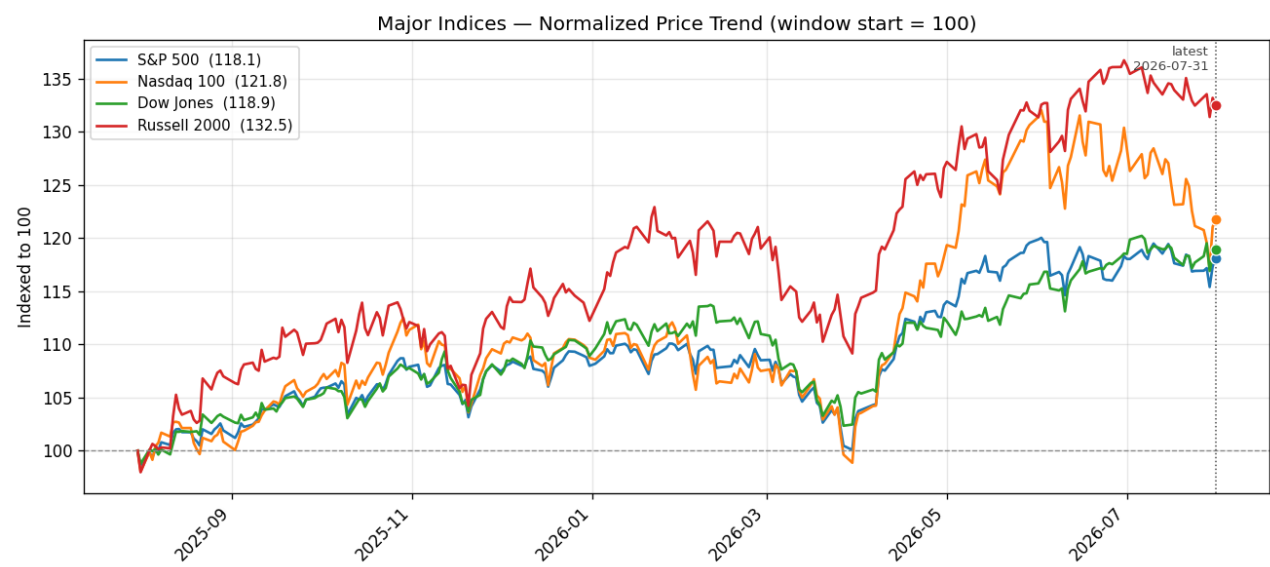
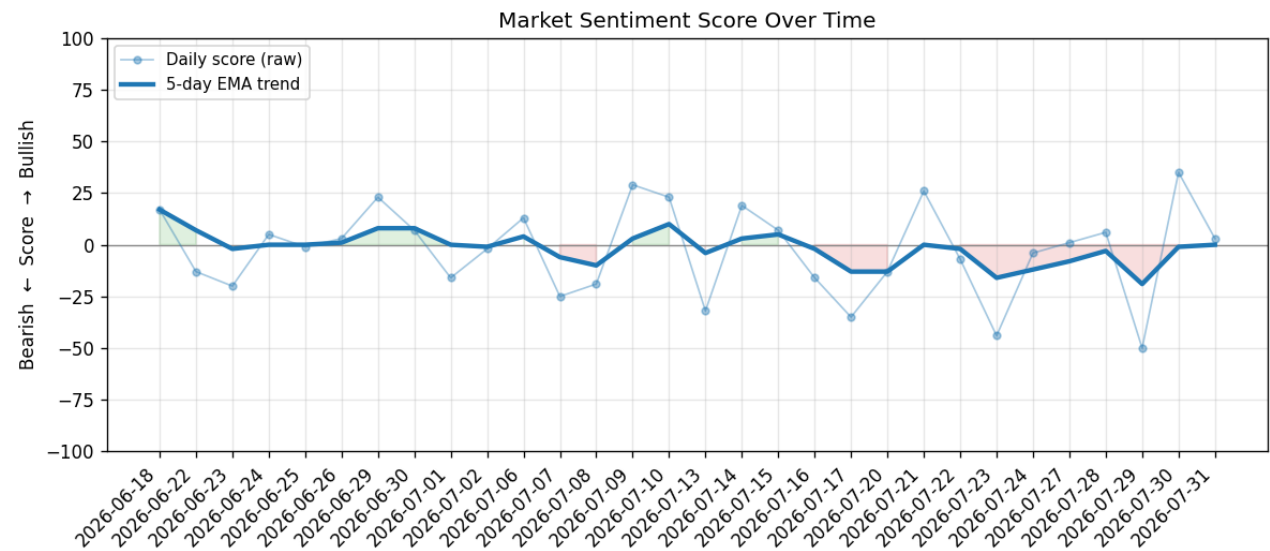
Equities rose with Nasdaq +0.6%, S&P 500 +0.7%, VIX -6.4%. Sector breadth: 4/11 sectors up. 10Y yield +1.8%. News headlines read slightly bearish. Fed-policy expectations tightened (13-Week T-Bill Yield +0.7bp). Today's overall market tone: Neutral. (news scored with finbert)

Standout headlines

Most bullish (+0.44) — Fintech broker Clear Street offers investors pre-IPO access to \$188 billion AI giant Databricks

Most bearish (-0.95) — Apple set to lose nearly \$500 billion in value after weak forecast

Trend Charts



Sector Watch (AI Stack)

Score describes the day: driven by the session move (70%), with breadth (avg % of the 20/50-day MAs the basket trades above, 15%) and news (15%) for texture. Relative strength (vs the Nasdaq for tech baskets, the S&P for the rest) is shown as a context column but doesn't drive the label. Sorted strongest→weakest.

Sector	Move	Rel. Str.	Breadth	News	Overall
Hyperscalers & Neoclouds	+3.02%	+2.42% vs Nasdaq	43%	Slightly Bearish	Bullish (+0.77)
Networking / Interconnect	+2.32%	+1.72% vs Nasdaq	36%	Slightly Bullish	Bullish (+0.75)
SaaS	+1.01%	+0.41% vs Nasdaq	89%	Neutral	Bullish (+0.56)
Banking	+0.22%	-0.48% vs S&P	44%	Neutral	Slightly Bullish (+0.13)
Semiconductors / Compute	+0.30%	-0.30% vs Nasdaq	20%	Slightly Bullish	Neutral (+0.06)
Pharma / Healthcare	-0.16%	-0.86% vs S&P	69%	Neutral	Neutral (+0.01)
Consumer	-0.33%	-1.03% vs S&P	38%	Neutral	Slightly Bearish (-0.27)
Memory (DRAM/NAND/HBM)	-2.29%	-2.89% vs Nasdaq	25%	Neutral	Bearish (-0.80)

Positioning & Regime

Was today bullish or bearish, read through positioning: out-of-the-money put/call volume (hedging vs chasing, daily) and short %-of-float (squeeze fuel; exchange data, biweekly) explain the character of the day's move — squeeze rebound, hedged advance, conviction selling. **Under evaluation** — logged daily, drives no scores.

Basket	OTM P/C	Short Fit	Day	Today's Read
Pharma / Healthcare	1.06	1.8%	-0.16%	Bearish — orderly decline; positioning unremarkable
Hyperscalers & Neoclouds	0.95	1.7%	+3.02%	Bullish — broad advance; positioning unremarkable
Banking	0.77	0.0%	+0.22%	Bullish — broad advance; positioning unremarkable
Networking / Interconnect	0.76	4.3%	+2.32%	Bullish — short-squeeze rebound — shorts/puts were loaded into the selloff and fueled the rip
Semiconductors / Compute	0.71	2.4%	+0.30%	Bullish — broad advance; positioning unremarkable

Consumer	0.69	2.0%	-0.33%	Bearish — decline without hedging demand — flows not panicked
Memory (DRAM/NAND/HBM)	0.68	5.7%	-2.28%	Bearish — decline without hedging demand — flows not panicked
SaaS	0.49	5.4%	+1.01%	Bullish — broad advance; positioning unremarkable
All tracked	0.75	2.4%	+0.34%	Bullish — broad advance; positioning unremarkable

Bloomberg News Summary

US Stocks Rally To End Turbulent Month | The Close 7/31/2026 (aired 2026-07-31) · Full-transcript summary · [watch on YouTube](#)

Key takeaways

- **Yields dominate market narrative:** The 30-year Treasury yield hit its highest level since 2007, posting the biggest monthly jump since 2024, driven by credibility concerns following Fed Chair Kevin Warsh's Wednesday press conference that lacked clarity on the inflation-fighting reaction function.
- **Tech earnings produce winners and losers:** Amazon surged 15% on cloud strength and better-than-expected AWS results, while Apple dropped 7.4% (worst day since April 2025) on supply chain constraints and services growth deceleration. The chip sector fell 20% for the month, worst performance since October 2008.
- **July closes flat despite volatility:** The S&P 500 ended July essentially unchanged despite significant intraday swings. Small-cap Russell 2000 fell 3% for the month, pressured by higher rates. Momentum strategies had their worst month since 2022 while volatility bets gained 16%.
- **Oil majors post record quarters:** Chevron and Exxon reported windfall profits as Brent crude averaged \$100/barrel, up 20% for the month. Kazakhstan's CPC pipeline remains operational despite earlier concerns about potential indefinite halts.
- **Fed credibility questioned:** Bond traders are demanding higher term premiums after Warsh's meeting, with three dissenters speaking publicly about tougher inflation stance. Markets now pricing reduced transparency with potential meeting frequency cuts being discussed.

Guest views

- **Phoebe White, UBS:** Fed will stay on hold through year-end; elevated term premium justified by uncertainty, persistent duration supply concerns, and higher structural volatility from reduced forward guidance.
- **Veronica Willis, Wells Fargo Investment Institute:** Remains favorable on tech despite pullback; investors should add exposure on dips; stocks can handle current rate levels but above 5% on 10-year could pressure equities.
- **Barton Crockett, Rosenblatt Securities:** Maintains neutral on Apple at \$300 target; valuation stretched at 30+ forward P/E given expected growth deceleration and supply chain headwinds limiting iPhone refresh upside.
- **Libby Leffler, Founder (legal tech startup):** Markets punishing AI capex without customers; Microsoft and Amazon showing receipts while Meta's ambition without ROI gets penalized; VCs not paying enough attention to public market scrutiny coming for their portfolio companies.

Stocks & sectors discussed

Energy led on the day (up 1.5%) with Chevron and Exxon posting records; tech mixed with Amazon +15%, Apple -7.4%, Roblox -30% (worst day ever), Reddit worst day since IPO; Universal Music Group -17% on streaming slowdown; small-caps underperformed on rate sensitivity.

"The silence has been quite deafening. The financial markets basically said thumbs down to the fact that the 30-year yield went up and two-year yields dropped. There is a loss of credibility from that press conference." — Analyst on Kevin Warsh's Fed meeting performance

Top Gainers

Company	Price	% Change
IES Holdings, Inc. (IESC)	744.54	+30.27%
AXT Inc (AXTI)	60.43	+28.74%
Integer Holdings Corporation (ITGR)	121.21	+20.18%
Ambarella, Inc. (AMBA)	86.00	+16.07%
Amazon.com, Inc. (AMZN)	271.58	+15.32%

Top News

Want to trade SpaceX for Apple? 1inch says skip the dollars — Yahoo Finance

The S&P 500 is making a change by adding this little-known industrial stock — MarketWatch (Top)

Ferguson Enterprises' stock was rallying more than 8% after news the Newport News, Va., company will be joining the S&P 500 index, edging out better-known names for inclusion.

Investors may want to focus on front end of yield curve — as Street anticipates next Fed meetings — CNBC (Finance)

Bond market investors may want to focus on the front of the yield curve, according to Allspring Global Investments' Noah Wise.

Alphabet rolls back AI image generation in Google Earth over policy violations — Investing.com

Mortgage and refinance interest rates today, Friday, July 31, 2026: Mortgage rates find more room to fall — Yahoo Finance

Market Snapshot

Major Indices

Instrument	Price	Change	% Change
S&P 500	7,489.72	+52.09	+0.70%
Nasdaq 100	28,274.19	+167.85	+0.60%
Dow Jones	52,485.03	+276.97	+0.53%
Russell 2000	2,931.34	-14.76	-0.50%
VIX	15.99	-1.10	-6.44%

Key Stocks

Instrument	Price	Change	% Change
Nvidia	200.75	+5.71	+2.93%
Microsoft	464.72	+13.62	+3.02%
AMD	476.15	-9.24	-1.90%
Meta	556.71	+17.68	+3.28%
Alphabet	356.65	+22.97	+6.88%
Broadcom	389.28	+1.44	+0.37%
Micron	823.03	-51.63	-5.90%
Intel	90.20	-0.93	-1.02%
SanDisk	1,214.83	-65.13	-5.09%
Coherent	262.89	+13.83	+5.55%
Amazon	271.58	+36.08	+15.32%
Apple	308.91	-24.52	-7.35%
Arm	239.69	-1.85	-0.77%

Commodities & Crypto

Instrument	Price	Change	% Change
Gold	4,098.60	-62.00	-1.49%
Crude Oil	86.80	+3.21	+3.84%
Bitcoin	62,909.61	-1,584.07	-2.46%

FX Rates

Instrument	Price	Change	% Change
EUR/USD	1.15	-0.00	-0.01%
USD/JPY	157.40	-2.21	-1.38%
GBP/USD	1.35	+0.00	+0.17%

Interest Rates

Instrument	Price	Change	% Change
10Y Treasury Yield	4.75	+0.08	+1.76%
13-Week T-Bill Yield	3.68	+0.01	+0.19%

Analyst Summary

Market Overview

U.S. equities advanced on Friday, with major indices closing higher despite a rocky end to July. The S&P 500 gained 0.70% to 7,489.72, while the Nasdaq 100 added 0.60% and the Dow rose 0.53%. However, the session masked significant divergence: small-cap stocks fell 0.50% as measured by the Russell 2000, pressured by rising interest rates and waning risk appetite. The VIX declined 6.44% to 15.99, suggesting diminished near-term concern despite ongoing volatility.

The session's gains came against a challenging backdrop. According to Bloomberg, the S&P 500 ended July essentially flat despite significant intraday swings—marking the index's first July decline since 2014. The month saw considerable stress in momentum strategies and semiconductors, with the chip sector posting its worst monthly performance since October 2008.

Big Tech Divergence and Top Gainers

Technology stocks delivered wildly divergent results. **Amazon surged 15.32%**, the day's standout mega-cap performer and the fifth-largest daily gainer across the market, driven by cloud strength and better-than-expected AWS results. **Apple tumbled 7.35%**, its worst day since April 2025, on supply chain constraints and services growth deceleration. Reports suggest the iPhone maker is set to lose nearly \$500 billion in market value following a weak forecast.

Elsewhere in tech, **Microsoft** rallied 3.02% and **Meta** gained 3.28%, while **Alphabet** soared 6.88% despite reports it rolled back AI image generation in Google Earth over policy violations. Memory stocks struggled, with **Micron** down 5.90% and **SanDisk** falling 5.09%, reflecting broader weakness in the Memory (DRAM/NAND/HBM) sector, which declined 2.29% for the day.

Among the market's top gainers, **IES Holdings** led with a 30.27% surge following its addition to the S&P 500, while **AXT Inc** (+28.74%), **Integer Holdings** (+20.18%), and **Ambarella** (+16.07%) rounded out the standout performers.

Rate Concerns and Fed Credibility

Interest rates remained a dominant theme. The 10-year Treasury yield rose 8 basis points to 4.75%, extending July's sharp climb. According to Bloomberg's reporting, the 30-year Treasury yield hit its highest level since 2007 during the month, with the biggest monthly jump since 2024. Bond traders are demanding higher term premiums following Fed Chair Kevin Warsh's recent press conference, which lacked clarity on the inflation-fighting reaction function and saw three dissenters publicly advocate for a tougher stance.

UBS analyst Phoebe White noted the Fed will likely stay on hold through year-end, with elevated term premiums justified by uncertainty and reduced forward guidance. Wells Fargo's Veronica Willis suggested stocks can handle current rate levels but cautioned that 10-year yields above 5% could pressure equities. The USD/JPY fell 1.38% to 157.40, reflecting shifting rate differentials.

Commodities and Cross-Asset Signals

Crude oil rallied 3.84% to \$86.80, benefiting from strong earnings from energy giants Chevron and Exxon, which posted record quarterly profits as Brent crude averaged \$100/barrel in July. Gold declined 1.49% to \$4,098.60, while Bitcoin fell 2.46% to \$62,909.61.

Sector performance reflected the rate-sensitive environment: Hyperscalers & Neoclouds led with a 3.02% gain, while Banking (+0.22%) and Networking/Interconnect (+2.32%) posted solid advances. The SaaS sector rose 1.01% with notably strong 89% breadth. Positioning data revealed a potential short-squeeze dynamic in Networking, with elevated short interest (4.3%) fueling the 2.3% rally.